

Probability Theory

Variance and the Normal Distribution

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November 11, 2020

The Expectation of the Product of Independent Random Variables

Theorem

If the random variables X and Y are independent then

$$\mathbb{E}XY = \mathbb{E}X\mathbb{E}Y. \quad (1)$$

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The Expectation of the Product of Independent Random Variables

Solution

In the case of (1) we call X and Y uncorrelated. Therefore we can say that if two (or more) random variables are independent then they are uncorrelated. The reverse statement does not hold.

The Expectation of the Product of Independent Random Variables

Example

We roll two dice, let the results be X_1, X_2 . Then the random variables $U = X_1 + X_2$ and $V = X_1 - X_2$ are not independent; (intuition: the parity of U is the same as of V), whereas

$$\mathbb{E}UV = \mathbb{E}(X_1^2 - X_2^2) = 0.$$

The Variance

Definition

If $\mathbb{E}X$ is finite then $\text{Var}X = \mathbb{E}(X - \mathbb{E}X)^2$ is called the variance of X . The square root of the variance is called standard deviation. Notation: $\text{SD}(X)$.

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- i) $\text{Var}X = \mathbb{E}X^2 - (\mathbb{E}X)^2$;
- ii) $\text{Var}(aX + b) = a^2 \text{Var}X$;

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If $\mathbb{E}X$ is finite then $\mathbb{V}\text{ar}X = \mathbb{E}(X - \mathbb{E}X)^2$ is called the variance of X . The square root of the variance is called standard deviation. Notation: $\text{SD}(X)$.

Properties

- i) $\mathbb{V}\text{ar}X = \mathbb{E}X^2 - (\mathbb{E}X)^2$;
- ii) $\mathbb{V}\text{ar}(aX + b) = a^2\mathbb{V}\text{ar}X$;
- iii) $\mathbb{V}\text{ar}(X + Y) = \mathbb{V}\text{ar}X + \mathbb{V}\text{ar}Y$, if X and Y are independent.

The Variance

Proof.

i)

$$\mathbb{E}(X - \mathbb{E}X)^2 = \mathbb{E}(X^2 - 2X\mathbb{E}X + (\mathbb{E}X)^2) = \mathbb{E}X^2 - 2\mathbb{E}X\mathbb{E}X + (\mathbb{E}X)^2;$$

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ii)

$$\text{Var}(aX + b) = \mathbb{E}((aX + b) - \mathbb{E}(aX + b))^2 = \mathbb{E}(a(X - \mathbb{E}X))^2;$$

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ii)

$$\mathbb{V}\text{ar}(aX + b) = \mathbb{E}((aX + b) - \mathbb{E}(aX + b))^2 = \mathbb{E}(a(X - \mathbb{E}X))^2;$$

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$$\mathbb{V}\text{ar}X + \mathbb{V}\text{ar}Y + 2\mathbb{E}(X - \mathbb{E}X)(Y - \mathbb{E}Y) = \mathbb{V}\text{ar}X + \mathbb{V}\text{ar}Y$$

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Calculate the expected value and variance of a Poisson distributed rv.

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Let $X \sim \text{Poisson}(\lambda)$. Then

$$\mathbb{E}X = \sum_{x=0}^{\infty} x \frac{\lambda^x}{x!} e^{-\lambda} =$$

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$$\mathbb{E}X^2 = \sum_{x=0}^{\infty} [x(x-1) + x] \frac{\lambda^x}{x!} e^{-\lambda} = \lambda^2 e^{-\lambda} \sum_{x=2}^{\infty} \frac{\lambda^{x-2}}{(x-2)!} + \lambda$$

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Ezért $\text{Var}X = \mathbb{E}X^2 - (\mathbb{E}X)^2 = \lambda$.

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Legyen $f_X(x) = \begin{cases} x & \text{ha } 0 < x < 1; \\ 2 - x & \text{ha } 1 \leq x < 2. \end{cases}$ What is $\mathbb{V}\text{ar}X$ equal to?

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$$EX = \int_0^1 x \cdot x \, dx + \int_1^2 x(2 - x) \, dx = 1,$$

$$EX^2 = \int_0^1 x^2 \cdot x \, dx + \int_1^2 x^2(2 - x) \, dx = \frac{14}{12},$$

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We roll two dice. Find the mean and variance of the difference of the two rolls.

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$$\mathbb{E}(X_1 - X_2) = \mathbb{E}X_1 - \mathbb{E}X_2 = 0;$$

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$$\mathbb{V}\text{ar}(X_1) = \mathbb{E}X_1^2 - (\mathbb{E}X_1)^2 = \frac{1}{6}(1^2 + \dots + 6^2) - \left(\frac{7}{2}\right)^2 = \frac{35}{12}.$$

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If $\mathbb{E}X = 1$ és $\mathbb{V}\text{ar}X = 5$ then find :

- i) $\mathbb{E}(2 + X)^2$;
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Fact

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Definition

If Z is a random variable with probability density function

$$\varphi(x) = \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}}, \quad x \in (-\infty, \infty)$$

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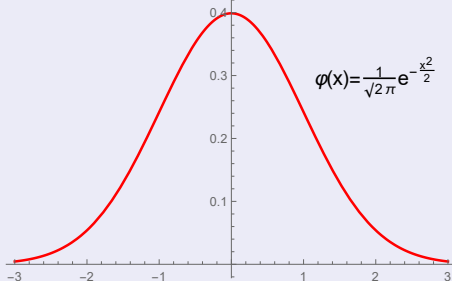
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A standard normális eloszlás sűrűségfüggvénye



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Ha $Z \sim N(0, 1)$, *akkor* $\mathbb{E}Z = 0$, $\mathbb{V}\text{ar}Z = 1$.

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$\mathbb{E}Z = \int_{-\infty}^{\infty} x \cdot \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}} dx = 0$, since the integrand is convergent (e.g. because $xe^{-\frac{x^2}{2}} < e^{-x}$, if x is large enough) and it is an odd function (its graph is symmetric to the y axis)

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$$\begin{aligned}\text{Var}Z &= \mathbb{E}Z^2 - (\mathbb{E}Z)^2 = \int_{-\infty}^{\infty} x^2 \cdot \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}} dx = \int_{-\infty}^{\infty} (-x)(-x) \cdot \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}} dx \\ &= \left[-x \cdot \frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}} \right]_{-\infty}^{\infty} - \int_{-\infty}^{\infty} -\frac{1}{\sqrt{2\pi}} e^{-\frac{x^2}{2}} dx = 1.\end{aligned}$$



The Normal Distribution

Definition

If $Z \sim N(0, 1)$ and $X = \sigma Z + \mu$, where $\sigma > 0$ then X is called normally distributed with parameters (μ, σ^2) . Notation:: $X \sim N(\mu, \sigma^2)$.

Remark

If $X \sim N(\mu, \sigma^2)$ then $aX + b \sim N(a\mu + b, a^2\sigma^2)$.

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Fact

If $X \sim N(\mu, \sigma^2)$ then $\mathbb{E}X = \mu$, $\text{Var}X = \sigma^2$.

Proof.

$$\mathbb{E}X = \mathbb{E}(\sigma Z + \mu) = \mu, \quad \text{Var}X = \text{Var}(\sigma Z) = \sigma^2.$$



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If $X \sim N(\mu, \sigma^2)$ then the probability density function of X is

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Proof.

$$F(x) = \mathbb{P}(X < x) = \mathbb{P}(\sigma Z + \mu < x) = \mathbb{P}\left(Z < \frac{x - \mu}{\sigma}\right) = \Phi\left(\frac{x - \mu}{\sigma}\right),$$

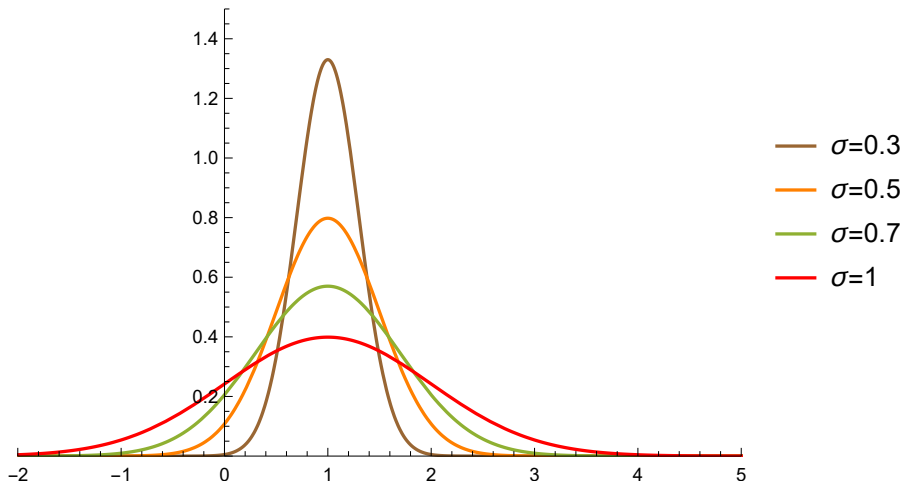
hence

$$f(x) = \left[\Phi\left(\frac{x - \mu}{\sigma}\right) \right]' = \Phi'\left(\frac{x - \mu}{\sigma}\right) \cdot \frac{1}{\sigma},$$



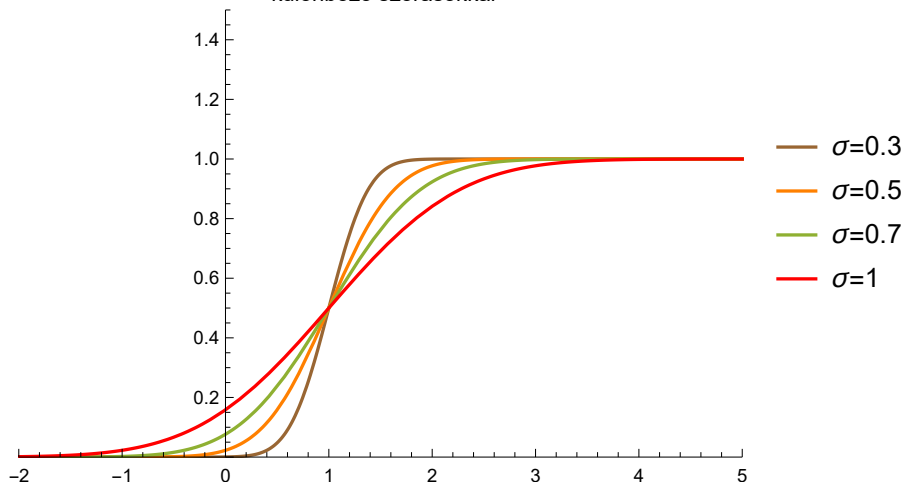
The Normal Distribution

A normális eloszlás sűrűségfüggvénye $\mu=1$ esetén
különböző szórásokkal



The Standard Normal Distribution

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The Standard Normal Distribution

Fact

If $X_i \sim N(\mu_i, \sigma_i^2)$, $i = 1, 2$ és X_1, X_2 are independent then

$$X_1 + X_2 \sim N(\mu_1 + \mu_2, \sigma_1^2 + \sigma_2^2).$$

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Proof.

It is a tedious computation with integrals, but after the CHT we give and intuitive explanation. □

Exercise

Calculate the following probabilities if Z is standard normally distributed:

Exercise

- i) $\mathbb{P}(-1 < Z < 1)$;
- ii) $\mathbb{P}(-2 < Z < 2)$;
- iii) $\mathbb{P}(-3 < Z < 3)$;

Solution

- i) $\mathbb{P}(-1 < Z < 1)$

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- ii) $\mathbb{P}(-2 < Z < 2) = \Phi(2) - \Phi(-2) = 2\Phi(2) - 1 = 2 \cdot$

Exercise

Calculate the following probabilities if Z is standard normally distributed:

Exercise

- i) $\mathbb{P}(-1 < Z < 1)$;
- ii) $\mathbb{P}(-2 < Z < 2)$;
- iii) $\mathbb{P}(-3 < Z < 3)$;

Solution

- i) $\mathbb{P}(-1 < Z < 1) = \Phi(1) - \Phi(-1) = 2\Phi(1) - 1 = 2 \cdot 0.8413 - 1 = 0.6826$;
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- iii) $\mathbb{P}(-3 < Z < 3) = \Phi(3) - \Phi(-3) = 2\Phi(3) - 1 = 2 \cdot 0.9987 - 1 = 0.9974$.

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Exercise

Calculate the following probabilities if $X \sim N(\mu, \sigma^2)$.

Exercise

- i) $\mathbb{P}(\mu - \sigma < X < \mu + \sigma)$;
- ii) $\mathbb{P}(\mu - 2\sigma < X < \mu + 2\sigma)$;
- iii) $\mathbb{P}(\mu - 3\sigma < X < \mu + 3\sigma)$;

Solution

$$\text{i) } \mathbb{P}(\mu - \sigma < X < \mu + \sigma) = \mathbb{P}\left(-1 < \frac{X - \mu}{\sigma} < 1\right) = 0.6826;$$

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Solution

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- ii)
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Exercise

Exercise

Calculate the following probabilities if $X \sim N(1.2, 2^2)$:

- i) $\mathbb{P}(X > -10)$;
- ii) $\mathbb{P}(-2 < X < 2 \mid X < 1.2)$;

Solution

- i) $\mathbb{P}(X > -10)$

Exercise

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Calculate the following probabilities if $X \sim N(1.2, 2^2)$:

- i) $\mathbb{P}(X > -10)$;
- ii) $\mathbb{P}(-2 < X < 2 \mid X < 1.2)$;

Solution

$$\text{i) } \mathbb{P}(X > -10) = \mathbb{P}\left(\underbrace{\frac{X - 1.2}{2}}_{=Z} > \frac{-10 - 1.2}{2}\right) = 1 - \Phi(-5.6) \approx 1;$$

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$$\text{ii) } \mathbb{P}(-2 < X < 2 \mid X < 1.2) = \frac{\mathbb{P}(-2 < X < 1.2)}{\mathbb{P}(X < 1.2)} = 2 \cdot \mathbb{P}(-2 < Z < 1.2);$$

Exercise

Exercise

Let $\mathbb{E}X = 0$, $\text{Var}X = 1$. When is the probability $\mathbb{P}(X > 1/2)$ if X is normally distributed or if X is uniformly distributed?

Solution

If $X \sim U(a, b)$ then on one hand $\frac{a+b}{2} = 0$, hence $b = -a$. On the other hand $\frac{b-a}{\sqrt{12}} = 1$ and it follows that $a = -\sqrt{3}$ therefore

$$\mathbb{P}(X > 1/2) = \frac{\sqrt{3}-1/2}{2\sqrt{3}} = 0.3556. \text{ Finally,}$$

$$\mathbb{P}(Z > 1/2) = 1 - \Phi(0.5) = 0.3085.$$

